

WHITE PAPER



Reduce College Costs and Help Protect Your Retirement Assets



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The Foundation of College Planning

For many families, paying for college can be one of their biggest goals and biggest stressors. Since 2000, the cost of higher education has risen roughly 41% faster than the rate of inflation, outpacing standard wage growth and creating a complex financial hurdle for parents and students alike.¹ In addition, college costs are often seen as a hindrance to one's long-term financial goals or retirement savings.

But in reality, the cost of college is more manageable than you think. The sticker price for some universities or colleges can be significantly higher than the actual cost. The sticker price reflects what a college wants you to pay, but by understanding the admissions processes, financial aid, and strategic asset and debt positioning, the bill you are responsible for can be much lower.

In addition, institutional aid has expanded substantially, with average tuition discount rates at private colleges and universities now exceeding 50%, and total student aid now exceeds \$275 billion annually.² Institutions themselves have emerged as the largest providers of grant and scholarship funding, surpassing both federal and state governments. Because schools actively use these substantial resources to shape their incoming classes, student debt is frequently less a function of limited financial resources and more a result of misunderstanding how to navigate the financial aid process strategically and proactively.

College funding can be accessible to everyone; you just need to know how to best plan for it.





The First Step: Admissions

To help maximize student aid potential, it is important to understand how modern schools operate. Many colleges use a data-driven methodology known as Strategic Enrollment Management (SEM) to manage their operating budgets and optimize their class profiles. Through this framework, an admissions department views an applicant through multiple institutional lenses, balancing academic and revenue goals.

From an institutional perspective, schools look for applicants with a combination of traits that fall into these three categories:

The Student Learner

Institutions often target a specific academic match, selecting individuals whose personal style of achievement aligns with the school's unique academic identity. Schools prioritize student success and graduation retention metrics, as institutional reputation depends heavily on stable graduation rates.

The Student Contributor

Since admissions offices look to drive campus vibrancy beyond the lecture hall, they actively seek organizational leaders, volunteers, and community builders. Students who integrate into the campus ecosystem are statistically more likely to stay for all four years, maximizing alumni potential.

The Student Customer

Higher education involves complex financial realities, so SEM uses discounted tuition as a specific mechanism to balance the school's fiscal requirements and mission objectives. By placing students at various net price points, an institution can fulfill its strategic enrollment goals while fully funding its operations.

With schools pursuing different candidates to fill their class profile gaps, how do you know what they're looking for? Applying to a diverse selection of colleges and universities and developing a unique and honest application can help students get into a school that is a mutual fit and potentially receive a discount via institutional aid.

The Strategic Importance of Application Timing

The timeline under which an application is submitted can significantly influence both the probability of academic acceptance and the optimization of the financial aid allocation. Institutions operate with finite institutional grant budgets, which means funding is frequently distributed on a first-come, first-served basis within specific priority windows.

Submitting applications under early decision or early action protocols allows families to interface with institutional aid pools when funding levels are at their peak. Furthermore, submitting early demonstrates that the applicant has genuine interest in the institution, which can strengthen the institution's financial offer. The longer you wait, the more likely a school is to use their student aid funds on other applicants and fill their profile gaps.

College Costs and Financial Aid

Every family has two buckets to fund college: assets (which could include savings, investments, and 529 plans) and borrowing (which often means taking a federal or private loan or borrowing against your home's equity). For many families planning for college, both buckets are necessary to cover the rising costs of higher education.

Pro Tip: Certain life insurance policies can be integrated into a strategy for college funding due to their dual characteristics. As an asset, the cash value within a life insurance policy is often treated differently by financial aid formulas, which may help support aid eligibility.

And as an alternative borrowing source, life insurance policy loans can offer flexibility compared to traditional student debt.





Clarifying Common Financial Aid Misconceptions

Many families miss out on financial aid because they mistakenly believe they won't be eligible. Let's clear up some common misunderstandings:

- ✓ **Income Levels:** Some families believe their income is too high to qualify for assistance. However, higher-earning families can often receive substantial tuition discounts through merit aid by targeting suitable schools. Most families qualify for some form of aid or discount regardless of their specific income bracket.
- ✓ **Academic Performance:** Parents sometimes worry that a student's grades are too low to receive financial support. Merit aid is often distinct from a student's grade point average. While academic performance is important, institutional fit and application strategies play a significant role in how these funds are awarded.
- ✓ **Homeownership:** There is a frequent assumption that owning a primary residence disqualifies a family from financial aid. In reality, home equity is not factored into the FAFSA formula. Failing to plan based on this assumption is a common overlooked area for many families.
- ✓ **Demographic Qualifications:** Some assume that financial aid is reserved only for specific demographic groups. The reality is that the vast majority of families can qualify for some type of aid package or institutional discount when navigating the system properly.
- ✓ **Process Complexity:** It is easy to assume the application process is straightforward and manageable alone. However, the financial aid system can be complex, and mistakes can be difficult to correct. Seeking professional guidance may help families navigate these rules and manage the overall net price of education.

The Methodological Divide: FAFSA vs. CSS Profile

Navigating the application process requires a clear understanding of the dual methodologies used to evaluate a household's financial capacity: the Free Application for Federal Student Aid (FAFSA) and the College Scholarship Service (CSS) Profile.

The FAFSA is the standard federal document required by all institutions for federal grants, work-study programs, and federal student loans. It operates under a strict statutory formula that evaluates parent income from a two-year prior reporting period and parent assets as of the exact date of filing. A major planning attribute of the FAFSA is its explicit exemption of primary residence equity and the cash value of permanent life insurance contracts. The FAFSA generates entirely separate evaluations of a family's Student Aid Index, a formula-based measurement of financial need, and their structural variations represent some of the most overlooked planning opportunities.

In contrast, the CSS Profile is the gatekeeper for institutional aid at over 250 of the nation's most elite and prestigious private colleges. While the FAFSA is the standard for federal aid, the CSS Profile is what these schools use to determine how to distribute their own significant private endowments.

Key Differences from the FAFSA

Financial Element	FAFSA Treatment (Federal Formula)	CSS Profile Treatment (Institutional Formula)
Primary Home Equity	Exempt. Not included in the calculation of the Student Aid Index.	Reported. Typically assessed based on market value minus outstanding debt.
Retirement Accounts	Exempt. Balances in 401(k), IRA, and Roth IRA plans are excluded.	Requested. Generally omitted from the core formula but reviewed holistically.
Cash Value Life Insurance	Exempt. Fully excluded from asset calculations.	Exempt. Generally excluded unless specific supplemental metrics are requested.
Sibling 529 Accounts	Exempt. Only the account naming the specific applicant is assessed.	Reported. All parent-owned accounts must be fully disclosed.
Small Family Businesses	Reported under current rules if net worth applies.	Reported. Full net worth assessed with no small-business exclusions.



Funding the Cost: Filling the Aid Gap

Higher education represents a significant long-term commitment. While managing the financial aid process can help lower overall college expenses, establishing a funding strategy to cover what financial aid doesn't is just as important as the aid itself.

The financial aid gap is the specific amount left over after a college subtracts your total financial aid package, including grants and student loans, from the total cost of attendance. It represents the final balance your family must pay. It is important to understand that your financial need is not a fixed number. While federal aid formulas use the Student Aid Index, private schools using the CSS Profile calculate financial need differently.

Traditional saving vehicles often involve specific trade-offs. For instance, accumulating assets in a 529 plan can increase your Student Aid Index, which may lower your financial aid eligibility. Looking at alternative strategies, such as certain life insurance products, may help fund college expenses while supporting aid eligibility, depending on your individual financial situation.



Asset and Income Positioning Principles

Earlier, we identified savings, investments, and life insurance as primary funding assets. The key takeaway now is positioning, because the way a family structures its assets and income can affect college costs. Understanding how financial aid formulas evaluate these resources helps families prepare more effectively.

Student vs. Parent Assets

Financial aid formulas treat assets differently depending on who owns them.

- ✓ **Asset Assessment Rates:** Assets held directly in a student's name are assessed at a higher percentage rate than assets owned by parents. Higher student assets can increase the overall aid index, which may reduce financial aid eligibility.
- ✓ **Divorced Household Guidelines:** For divorced parents, federal guidelines determine the contributing parent based on who provides the greatest amount of direct financial support. Physical custody is not the deciding factor.

Income Deferral and Asset Reallocation

High-income households may still find opportunities to reduce out-of-pocket college costs by adjusting their financial profiles. Two common strategies include:

- ✓ **Lowering Adjusted Gross Income:** Maximizing elective income deferrals can help lower a family's adjusted gross income, which establishes a lower taxable base for aid calculations.
- ✓ **Moving Reportable Assets:** Families can move investments from reportable accounts, like standard brokerage funds, into non-reportable financial vehicles. Structures such as non-qualified annuities and cash value life insurance policies are typically exempt from federal financial aid indexing.

Long-Term Asset Migration

Some standard education savings vehicles provide tax-deferred growth but count as reportable assets on financial aid forms. This can lower a student's eligibility for institutional grants.

Moving these funds over a multi-year period into alternative structures, such as cash value life insurance, offers a different approach. This strategy can help reduce the assessable asset base on financial aid forms to zero. At the same time, it allows capital to grow while insulating it from market volatility and gives families the ability to access cash value through policy loans to help cover educational expenses.



Next Steps for Your Family's Strategy

Balancing college expenses with retirement preservation is an important part of your long-term financial health. Instead of viewing these milestones as competing interests, a unified strategy can help you manage both simultaneously.

You wouldn't file your taxes without planning first, and college funding is no different. Consider partnering with a qualified financial professional to help coordinate your funding options and build a suitable strategy that protects your retirement trajectory.

Reach out to us to schedule an appointment today.



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Disclosures

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